Department of Information Technology

Fiscal Sustainability and Impact of Proposed FY2027–FY2028 Reductions

Overview

The Department of Information Technology (IT) provides the digital infrastructure that enables nearly every operational function of the City of Berkeley. These services support financial management systems, permitting and licensing platforms, communications infrastructure, cybersecurity protections, data management, and the network systems used by City departments to deliver services to community members.

As part of the City's broader effort to address a structural fiscal imbalance, IT has evaluated potential expenditure reductions for FY2027 and FY2028. However, the nature of technology operations creates unique fiscal constraints. A significant portion of IT expenditures consists of fixed costs necessary to maintain core systems, enterprise software licensing, cybersecurity protections, and regulatory compliance requirements required to sustain City operations.

As a result, reductions to the IT budget must be approached carefully, as they may directly affect the reliability, security, and long-term sustainability of the City's technology infrastructure.

Fiscal Context

The Department's projected baseline expenditures are approximately $18.6 million in FY2027 and $18.9 million in FY2028, representing the cost required to maintain the City's existing technology infrastructure and services.

Under the current fiscal targets, available revenues are projected to be approximately $15.27 million annually, creating a structural gap between the cost of maintaining existing services and the available funding.

This gap reflects several structural pressures affecting public-sector technology operations, including:

- Continued increases in enterprise software and cloud service costs
- Increasing cybersecurity and regulatory compliance requirements
- Aging infrastructure requiring lifecycle replacement
- Growing demand for digital services across City departments

These pressures create a challenging environment in which maintaining the City's existing technology environment becomes increasingly difficult within the current funding structure.

IT Funding Structure

Most IT services are funded through Internal Service Fund 680 (IT Cost Allocation). This model distributes the cost of enterprise technology services across City departments based on staffing and operational needs.

Although this structure functions as an internal service model, the majority of these costs ultimately originate from the General Fund, because most City departments rely primarily on General Fund resources to pay their share of the IT Cost Allocation. As a result, fiscal pressures affecting the General Fund indirectly impact the sustainability of the City's technology operations.

The General Fund itself represents approximately 7% of IT's direct funding, or roughly $1.2 million annually. IT modeled scenarios reflecting 10% and 12.5% reductions to this portion of the budget as requested.

Because the General Fund portion represents a relatively small share of IT's total funding, reductions in this area generate limited savings while still affecting the Department's operational flexibility.

Historical Fiscal Context

The Department's current fiscal position is also influenced by prior budget actions. In FY2026, $6.46 million was removed from the IT Cost Allocation Fund in a one-time action to balance the FY2026 budget.

Historically, these reserves functioned as a financial buffer that allowed IT to manage infrastructure lifecycle replacements and major system upgrades without disrupting operations. The removal of these funds significantly reduced IT's ability to absorb cost increases or respond to emerging technology needs.

As a result, IT entered the current budget cycle with limited financial flexibility while continuing to face increasing operational costs and aging infrastructure.

Actual Liabilities are Greater with Funds 502 and 503 Considered

As reported, the true financial liability of the IT department is significantly higher. As discussed in our budget review, the current deficit **only** accounts for the gap between Fund 680 and the General Fund revenues against projected expenditures. This calculation overlooks two critical, "sunset" funds that are no longer being replenished but continue to carry heavy operational costs: VOIP (502) and FUND$ Replacement (503).

- Fund 502 (Telephony)**:** Funding ceased at the end of FY2024, yet the fund remains responsible for the annual Avaya phone service contract, which costs approximately $460K per year. With a projected balance of only $393K by the end of FY26, this fund is on a trajectory to reach a negative $551K balance shortly thereafter.
- Fund 503 (FUND$ Replacement): This fund is in a similarly depleted state and is projected to incur a negative balance of $1.8M by the end of FY28.

To ensure fiscal transparency and operational continuity, we propose transferring the liabilities of these two exhausted funds into the 680 Cost Allocation model. While this move provides a more accurate accounting of our obligations, it will inherently widen the current deficit gap, necessitating a reevaluation of our total funding requirements.

Cost Pressures in Technology Operations

Technology operations experience cost drivers that differ from other City services.

- **Vendor Cost Escalation**
  Enterprise technology vendors routinely implement annual price increases (average 12-15%) for licensing, cloud services, and support contracts. These increases are typically embedded within renewal agreements and are difficult to avoid.
- **Regulatory and Security Requirements**
  Public sector technology environments must comply with a range of security and regulatory standards necessary to protect public data and maintain eligibility for cyber insurance and regulatory compliance.
- **Infrastructure Lifecycle Requirements**
  Core infrastructure systems require periodic replacement to maintain reliability and performance. Deferring lifecycle investments can increase long-term costs and operational risk.

For these reasons, IT's baseline cost projections represent the minimum level required to maintain the City's technology infrastructure.

Proposed Workplan Reductions

To help meet the fiscal reduction targets, IT evaluated its planned technology workplan and identified projects that could reluctantly be deferred or scaled back.

These proposed reductions total approximately $3.15 million in FY2027 and $2.9 million in FY2028 and primarily involve postponing infrastructure modernization projects, reducing support services, and delaying technology initiatives intended to improve operational efficiency.

The most significant reduction involves postponing the City's telephony integration with Microsoft Teams, representing approximately **$**1.6 million in FY2027 and $1.4 million in FY2028. This project was intended to modernize the City's aging phone infrastructure and improve resiliency and reliability. Deferring this project prolongs reliance on aging equipment and increases the potential risk of service disruptions. The instability of this unfunded infrastructure has already manifested in critical service gaps. In the past year, Public Safety Dispatch experienced several Avaya outages that prevented the public from reaching non-emergency lines and left the Communications Center unable to make outbound calls. Similar outages at the Transfer Station disabled their ability to process credit card payments, which rely on a stable, wired phone connection for transactions.

Additional reductions include delaying network and bandwidth upgrades for remote City facilities, which were originally planned to improve connectivity, reliability, and performance.

IT also proposes eliminating Service Desk staff augmentation currently provided through CompuCom, representing approximately $500,000 annually. Removing these resources however, will reduce Service Desk capacity and will result in longer response times for City staff requesting technical support.

Other reductions include postponing implementation of an Enterprise Integration Platform, which was intended to improve coordination between City systems and support centralized financial tools such as an accounts receivable and billing portal. Without this platform, departments will continue relying on point-to-point integrations, which require more manual effort and increase system complexity. Another way to look at it: Operating without an integration platform is like running a city where every department speaks a different language and we have to hire expensive translators for every single conversation. An integration platform is the 'Universal Language' that allows our systems to talk to each other automatically, reducing human error, protecting our data, and ensuring that our IT personnel spend their time on innovation rather than manual data entry.

Planned investments in Artificial Intelligence technologies intended to streamline administrative processes will also be delayed, limiting opportunities to improve operational efficiency across departments and increasing cyber and privacy risks as personnel seek to use their own AI solutions.

Finally, the Department proposes eliminating certain vendor support services, including Microsoft enterprise support, which may increase the time required to resolve complex technical issues affecting email systems, desktops, and applications.

Ultimately, these proposed workplan reductions delay several modernization efforts and require the department to operate existing systems longer than originally planned. This means community members will likely experience a slower, less reliable, and more fragmented interaction with City staff. By deferring critical infrastructure upgrades and reducing support capacity, the City risks more frequent service disruptions—similar to the recent outages that hindered non-emergency public safety lines and paralyzed payment processing at the Transfer Station.

The consequences of maintaining such vulnerabilities are not theoretical; the 2023 ransomware attack on the City of Oakland serves as a stark warning. In that instance, the exploitation of aging, underfunded systems led to a months-long state of emergency, the leaking of sensitive resident data, and the total paralysis of business licensing and permit processing. By cutting $3.15 million from our own modernization efforts today, we are effectively choosing to operate on the same fragile foundation that left Oakland vulnerable. For the general public, this translates to a "hidden tax" of risk: longer wait times for assistance, a higher probability of systemic collapse during a cyber event, and a digital infrastructure that continues to age rather than evolve to meet modern needs.

Proposed Workforce Reductions

In addition to reductions within the technology workplan, IT evaluated personnel reductions to help address the fiscal targets.

These reductions total approximately $846,730 in FY2027 and $876,621 in FY2028 in ongoing personnel savings and focus primarily on vacant positions across multiple operational areas.

The proposed workforce reductions include:

- **Application Programmer Analyst II**
  This position supports several business systems used by City departments, including systems supporting Police and Fire operations. Eliminating this position will reduce IT's ability to respond quickly to system issues and enhancements affecting these critical systems.
- **Customer Service III (311 / Service Desk)**
  This role supports the City's 311 customer service operations. Removing this position will reduce call-handling capacity and may result in longer response times for community members and City staff requesting assistance.
- **Project Manager II**
  This role provides coordination and oversight for City technology projects. Eliminating this position will slow project implementation and reduce oversight for technology initiatives requested by City departments.
- **Senior Information Systems Specialist**
  This position supports critical infrastructure systems including servers, network systems, and core technology platforms. Eliminating this position reduces IT's technical capacity to maintain and implement infrastructure and security improvements.

At face value, one can argue that IT's head count-to-support ratio of 1:52 (49 IT to 1700-1800 employees) is "healthy". In reality, the 1:52 ratio is a mathematical illusion that misrepresents our operational reality. Most "industry standard" benchmarks assume a horizontal support structure, where a large pool of interchangeable generalists focuses on high-volume, low-complexity tasks like PC/laptop "break-fix" support.

In contrast, IT operates as a "vertical shop", where staffing is dictated by specialized, mission-critical systems. Of our 49 positions, 22 are dedicated to non-engineering functions, including public-facing 311 services, internal help-desk support, and essential fiscal/administrative oversight. This leaves a balance of only 27 technical specialists—Sr. Information Systems Specialists (SISS), Application Programmer Analysts (APA I & II) and one Program Manager—to manage the City's critical infrastructure.

These 27 individuals perform the "digital surgery" required to maintain ERMA, FUND$, our virtual compute environment, custom apps for various departments (Accela, Inspection Software, HHCS systems) and cybersecurity. Because our structure is vertical, expertise is deep but narrow; a Programmer Analyst dedicated to applications such as AMCS (Zero Waste) or berth rentals (PRW) cannot be swapped to troubleshoot a desktop or a phone line.

In summary, these reductions represent approximately 8% of IT's overall staffing capacity and 11% of IT's technical capacity and reduce the City's internal technology expertise at a time when demand for digital services continues to grow.

Strategic Technology Risk: FUND$ Financial System

One of the most significant technology risks currently facing the City is the FUND$ financial system.

FUND$ was implemented in 1989 and has been heavily customized over several decades to support the City's financial operations. While the system continues to function, its age and customization make it increasingly difficult to maintain and support.

The City currently spends approximately $500,000 per year maintaining the system. However, because the system relies on outdated technologies and extensive customization, qualified support resources are increasingly difficult to obtain.

Given the critical role of this system in managing the City's financial operations, the risk associated with maintaining the platform continues to grow.

For this reason, replacing the FUND$ system is IT's primary strategic technology priority for FY2027 and FY2028. Moving off of this platform will reduce operational risk and improve integration between financial systems and other City applications.

Conclusion

The reductions outlined above allow IT to move toward the City's fiscal targets; however, they also require deferring key modernization projects, reducing operational support capacity, and eliminating critical technical positions.

Taken together, these actions shift IT's focus from technology modernization toward maintaining the stability of existing systems with fewer resources.

While IT will continue working closely with the City Manager's Office and the Budget Office to implement these reductions responsibly, it is important to recognize that sustained underinvestment in core technology infrastructure will increase operational risk over time. Aging systems will remain in service longer, modernization efforts will slow, and the City's ability to respond quickly to emerging technology needs will be reduced.

Continued investment in the City's core technology infrastructure—particularly the replacement of the FUND$ financial system—will remain essential to maintaining reliable City operations and supporting the delivery of services to Berkeley community members.

Appendix A

Proposed Information Technology Workplan Reductions

Table: Proposed Workplan Reductions

Proposed Item	FY27 Cost Reduction	FY28 Cost Reduction	One-Time / Ongoing	Service / Community Impact
Infrastructure – Postpone Telephony Integration with MS Teams	$1,600,000	$1,400,000	One-time	Delays modernization of City phone systems and increases risk of extended telephony outages. Risk is real. PSB and Transfer Station have historical outages affecting community members.
Service Desk – Eliminate CompuCom Staff Augmentation	$500,000	$500,000	Ongoing	Drastically slower Service Desk response times for City staff, effectively handcuffs City departments from performing their work—from Public Works to emergency coordination—waiting for hours if not days for a fix and/or resolution.
Applications – Integration Platform	$350,000	$350,000	One-time	Delays integration of City systems and centralized billing capabilities. Platform integration reduces data risk by replacing fragmented, manual "point-to-point" connections with a secure, centralized hub that enforces consistent encryption and access controls across all departments. This "Universal Language" eliminates the human errors and "shadow IT" vulnerabilities that occur when data is manually moved between incompatible systems, significantly narrowing the entry points for a cyberattack.
Applications – Artificial Intelligence	$370,000	$370,000	Ongoing	By failing to provide a secure, City-governed AI solution, we force employees to turn to unmonitored, third-party tools—effectively leaking sensitive data into the public domain and creating the exact same security gaps that led to the devastating Oakland ransomware breach.
Infrastructure – Remote Site Network Upgrades	$150,000	$150,000	Ongoing	Replacing end-of-life switches and routers is critical because modern hardware acts as a "digital immune system," providing the processing power needed for the latest security patches and encryption. Failing to refresh this aging equipment leaves our remote sites with unpatchable vulnerabilities.
Infrastructure – Fiber Upgrade (1947 Center St.)	$50,000	—	One-time	Postponing infrastructure upgrades at 1947 Center leaves personnel operating on saturated networks that have already reached their maximum data capacity. Without these necessary bandwidth expansions, the resulting

Proposed Item	FY27 Cost Reduction	FY28 Cost Reduction	One-Time / Ongoing	Service / Community Impact
				system latency will continue to hinder daily operations and frustrate staff.
Infrastructure – Remote Site Bandwidth Upgrades	$30,000	$30,000	Ongoing	Postponing infrastructure upgrades at remote City facilities leaves personnel operating on saturated networks that have already reached their maximum data capacity. Without these necessary bandwidth expansions, the resulting system latency will continue to hinder daily operations and frustrate staff, directly impacting the City's ability to maintain reliable, real-time coordination across all sites.
Microsoft Enterprise Support	$95,000	$95,000	Ongoing	Removing Microsoft Enterprise support eliminates our direct line to Microsoft who help maintain our core systems, meaning a complex bug or security vulnerability could easily escalate from a minor fix into a multi-day blackout. Without this expert fallback, the City loses its ability to rapidly resolve high-level technical failures, risking a total paralysis of the public's ability to reach City staff.

Total Workplan Reductions
FY2027: **$3,145,000**
FY2028: **$2,895,000**

Proposed Workforce Reductions

Table: Proposed Workforce Reductions

Position	FY27 Savings	FY28 Savings	Ongoing / One-Time	Operational Risk
Application Programmer Analyst	$243,676	$250,770	Ongoing	Reduced support for systems used by Police and Fire departments
Customer Service III (311 / Service Desk)	$139,692	$147,294	Ongoing	Slower response times for residents and staff contacting 311
Project Manager II	$286,959	$292,781	Ongoing	Delays in technology project implementation and oversight
Senior Information Systems Specialist	$176,403	$185,776	Ongoing	Reduced capacity to maintain and implement server, network, and security infrastructure

Total Workforce Reductions
FY2027: **$846,730**
FY2028: **$876,621**